What We Will Learn Today

△ **IS Strategy Triangle**
Alignment – why systems fail or succeed

5F **Porter's Five Forces**
Industry pressure – where competition comes from

VC **Value Chain**
Value creation – why IS add value

RBV **Resource-Based View**
Capability – what creates sustainable advantage

Why This Matters

- Information systems do not create value by themselves

  Value comes from:

  alignment | positioning | execution

- These frameworks help you **think like a manger**, not a technician

Link To Your Group Project

01
Identify your firm's strategy and competitive environment

02
Explain how your MIS supports (or fails to support) that strategy

03
Locate one or two clear IS-related problems

温州肯恩大学
WENZHOU-KEAN UNIVERSITY

GMBA 5885 W01
Strategic Mgt Global Info Sys

IS Strategy Triangle

Dawei Chen

28 March 2026

Learning Objectives

By the end of this session, you should be able to:

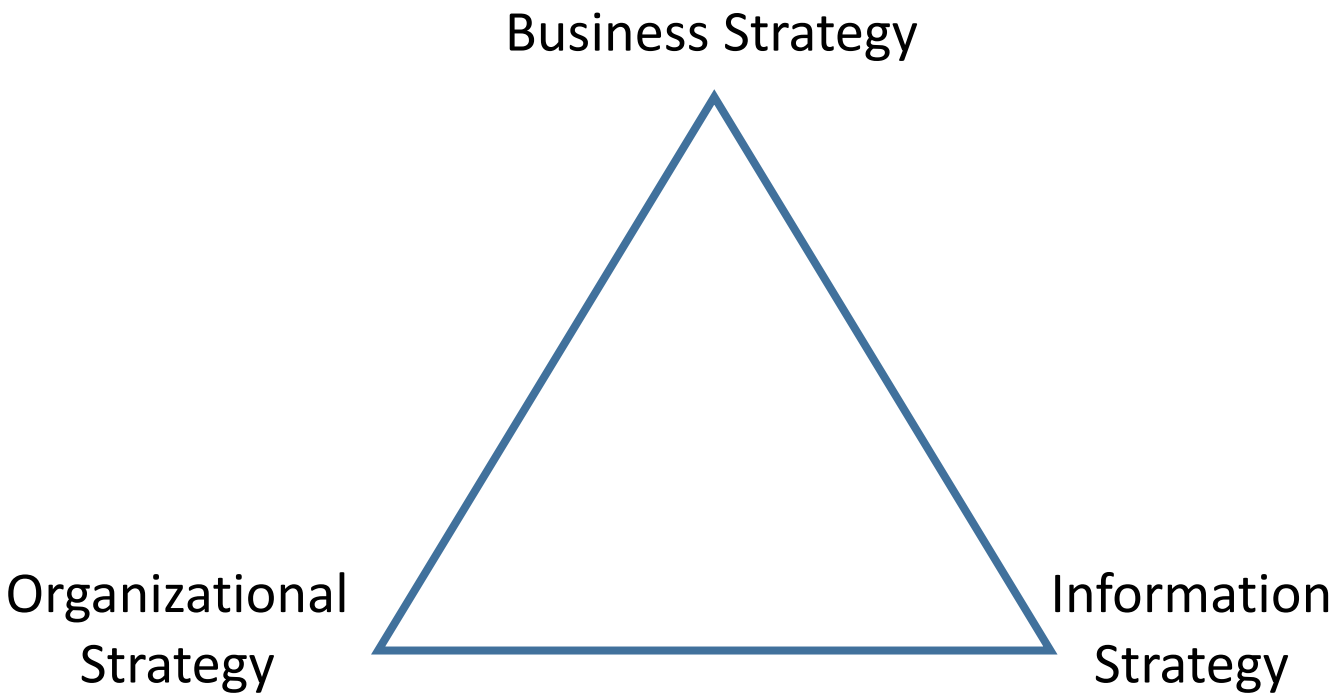
- Explain the **IS Strategy Triangle** in simple terms
- Identify alignment vs. misalignment in real organizations
- Diagnose why systems fail despite working technology

Generated by ChatGPT Auto

Opening Case: Kaiser Permanente

1. What was KP's core business goal in 2015, and how did it differ from the old approach?
2. How were physician bonuses structured under the old system versus the new one?
3. Why was it important to change incentives alongside the technology?
4. Which specific IS investments directly supported KP's shift to proactive care?
5. Could KP have reached its goals by upgrading the technology alone — without changing how the organization operates? Why or why not?
6. What evidence from the case suggests the strategy worked between 2014 and 2019?
7. What does this case suggest about the relationship between business strategy, organizational design, and information systems?

IS Strategy Triangle



Pearlson et al. 2024

A simple way to diagnose why systems succeed or fail

What are they?

- Business strategy
- Organizational strategy
- Information strategy

What are their relationships?

- Alignment
- Misalignment
- Who come first?

What Are They

Business Strategy	Organization Strategy	IS Strategy
What are we trying to achieve?	How do people and processes actually work?	What system supports this?

What Are They

Business Strategy

Where the firm chooses to compete, how it creates value, what it will and will not purse

KP: shift from reactive treatment to proactive health management

Amazon: dominate retail through price, speed, and convenience; not physical stores

Organizational Strategy

How work is structured and controlled, including decision rights, business processes, reporting relationships, incentives, cultural norms, etc.

KP: physicians on flat salaries with outcome-based bonuses

Amazon: warehouse and delivery staff managed by real-time automated performance metrics

IS Strategy

Plan for deploying IS, including:

- *What*: hardware, software, data, networks
- *Who* own, access, manage
- *Where* they reside

KP: HealthConnect integrates records, appointments, billing, com

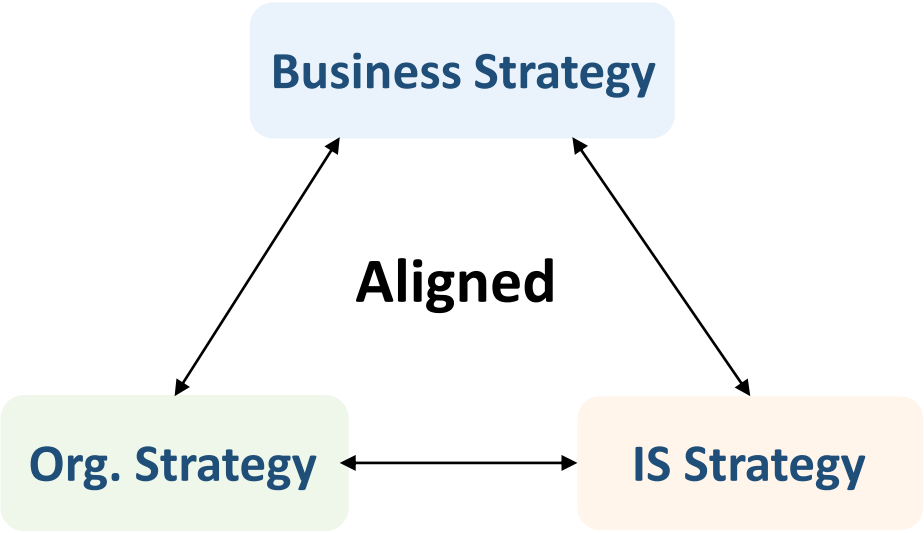
Amazon: logistics platform, forecasting algos, and AWS infra enabling real-time fulfillment

ERP That Nobody Used

- √ ERP system fully implemented and technically working
- ✗ Employee continue using Excel
- ✗ Data remains inconsistent across departments
- ✗ Investment does not create value

The system works. The project was delivered. So why did it fail?

Alignment



What Alignment Means

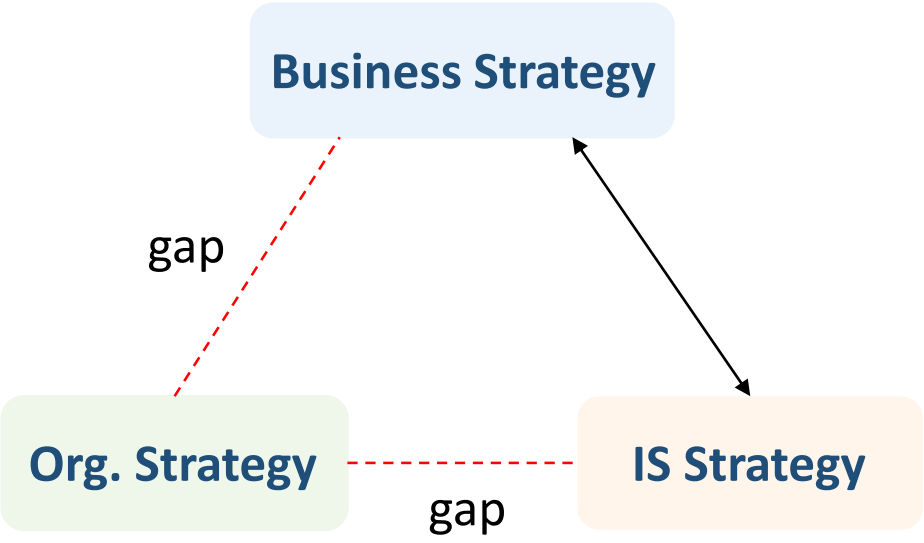
The three strategies are **consistent with** and **mutually supportive** of each other — no strategy pulls in a different direction.

Example: KP

- *Bus:* shift to proactive, preventive care
- *Org:* physicians rewarded for patient health outcomes, not volume
- *IS:* KP HealthConnect, mobile apps, and analytics enable preventive monitoring at scale

When all three point in the same direction, the firm can execute its strategy effectively — each element amplifies the others.

Misalignment



What Misalignment Means

One or more strategies are inconsistent with the others — the firm invests in systems or structures that do not support its stated goals.

Example: KP without the changes

- Strategy says: proactive, preventive care
- Organization still rewards physicians for volume — behavior unchanged
- Result: new IS is ignored or underused; outcomes do not improve

Misalignment is the most common reason IS investments underperform — technology works, but organization and strategy do not support it.

Misalignment in Practice

Case A: workflow clash

Scenario: a hospital introduces a new digital scheduling / documentation system

- What changed? the system
- What did not change? roles, routines, workload assumptions
- Typical symptom: the system works, but users work around it or resent it

Case B: wrong optimization

Scenario: an AI chatbot improves response speed and cuts service cost

- What changed? IS capability and operating metric
- What did not change? the actual value proposition to the customer
- Typical symptom: efficiency rises, satisfaction falls

Case C: shadow system

Scenario: an ERP system is installed, but teams keep Excel sheets and trust them more than the dashboard

- What changed? formal system and reporting logic
- What did not change? incentives, trust, training, local process needs
- Typical symptom: duplicated data and blame on IT

Does Business Strategy Come First?

VIEW 1

Business strategy leads

Strategy sets the direction; org design and IS are shaped to support it. Most textbooks start here — strategy first, then structure and systems follow.

VIEW 2

IS enables new strategy

Sometimes IS capabilities open up strategic options that did not exist before. Amazon's logistics platform enabled same-day delivery as a strategy — the IS came first.

VIEW 3

Often they evolve together

In practice, all three evolve together. A change in one creates pressure to adapt the others — there is no fixed starting point.

No fixed order

What matters is that all three remain **consistent**. At Kaiser Permanente, vision came first, but IS and org redesign had to happen simultaneously before the strategy could work.

Reflection

Do not share sensitive details

Think of an IS at your firm that technically works but has under-delivered. Why?

Which corner of the triangle changed first?

Which corner stayed the same and created friction?

What visible symptom tells you there is misalignment?

What would need to change besides technology?

Managerial Takeaway

IS is not just an technology decision - it is a strategic and organizational decision

If you remember only one thing...

When a system disappoints, do not stop at the interface or the vendor. Ask how business goals, organizational design, and IS choices fit - or fail to fit - together.

Why this matters for managers

Managers who stay out of IS decisions risk limiting future business options. They also misdiagnose problems when they treat technology as a back-office issue.

Why this matters for your proposal

In Stage 1, the selected MIS should be analyzed as part of the company strategy, not as a stand-alone tool. The triangle gives you that logic.

Project Transfer & Next Session

Quick project diagnostic for each group

Use your project company and selected MIS.
Before the break / next topic, be ready to answer:

1) What is the firm trying to achieve?

2) How is the work organized today?

3) What core MIS supports that work?

4) Where might misalignment already exist?

5) If you propose AI later, which corner(s) will have to change as a result?

Connector to next session

What you just identified internally is exactly what Michael Porter will help you explain from the outside:

- Industry pressure
- Rivalry
- Entrants
- Substitutes
- Buyer power
- Supplier power

- Reference

Pearlson, K. E., Saunders, C. S., & Galletta, D. F. (2024). The Information Systems Strategy Triangle. In Managing & Using Information Systems: A Strategic Approach (7th ed., pp. 17–34). Wiley.

- AI Use Disclosure

AI was used as a thinking and design assistant to:

- Structure session flow from problem → framework → application → synthesis
- Shift from lecture-based slides to case-driven discussion format
- Design discussion questions, prompts, and anticipated student responses
- Simplify concepts and reduce unnecessary textbook-style content